Options: payoff before prediction

Separate premium, payoff, breakeven and the risks that a simple expiry diagram leaves out.

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01 / Rights, obligations and premium

An option buyer pays premium for a contractual right. The seller takes the corresponding obligation under the contract. Calls and puts respond differently to the underlying price; contract specifications determine exercise and settlement.

The premium is not the same as margin. Margin requirements can change, and a strategy that looks small in premium terms can carry substantial obligations. Read the current exchange specifications before considering an actual contract.

02 / Read a long call at expiry

For one unit of a simple long call, expiry payoff is max(underlying price - strike, 0). Net profit before costs is payoff minus premium. Breakeven at expiry is strike plus premium.

Illustration: strike Rs 100, premium Rs 5. At expiry price Rs 112, payoff is Rs 12 and net result before costs is Rs 7. At price Rs 98, payoff is zero and the premium is lost. Multiply by the contract quantity to calculate total amounts; do not confuse a per-unit example with a whole contract.

03 / Read a long put at expiry

For a simple long put, expiry payoff is max(strike - underlying price, 0). Net profit before costs is payoff minus premium. Breakeven at expiry is strike minus premium.

Illustration: strike Rs 100, premium Rs 4. At expiry price Rs 90, payoff is Rs 10 and net result before costs is Rs 6. At price Rs 105, payoff is zero. This arithmetic does not include taxes, fees, settlement obligations or the path of the option price before expiry.

MAKE IT PRACTICAL
Calculate call and put net results at three underlying prices. Label premium, strike, quantity and costs separately.

04 / Before expiry, more than direction matters

Option prices also depend on time remaining, implied volatility, rates and the contract. A correct directional view can still lose money if the move is too small, too late or accompanied by a fall in implied volatility.

Delta describes sensitivity to the underlying, gamma describes changes in delta, theta relates to time decay and vega relates to volatility sensitivity. These are model sensitivities, not fixed promises or isolated trading instructions.

05 / What the diagram leaves out

Selling options can involve very large losses, including theoretically unlimited losses for an uncovered short call. Combining legs may define an expiry payoff, but introduces execution, liquidity and settlement considerations.

A payoff chart at expiry does not describe mark-to-market losses, early exercise where applicable, margin calls or gaps. Learn the instrument and settlement rules before risking capital.

- Confirm lot size, expiry and settlement type.
- Calculate all legs and transaction costs.
- Assess worst-case and interim funding needs.
- Practise using hypothetical examples without placing an order.

Sources and further reading

Original educational guide. Examples are hypothetical; this is not personalised investment advice or a promise of returns. Free download for personal study.

SEBI Investor: https://investor.sebi.gov.in/
SEBI due diligence: https://investor.sebi.gov.in/due_diligence.html
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